

Company Name	Microsoft Corporation
Ticker	MSFT
Market Cap	\$2.90T
Revenue	\$281.72B
EBITDA	\$160.16B
Total Debt	\$125.43B
Current Price	\$390.74

Target: Electronic Arts Inc.

Company Name	Electronic Arts Inc.
Ticker	EA
Market Cap	\$50.97B
Revenue	\$7.53B
EBITDA	\$1.56B
Total Debt	\$1.85B
Current Price	\$203.27

Valuation Bridge (EV / EBITDA)

Metric	MSFT	EA
EBITDA	\$160.16B	\$1.56B
Enterprise Value	\$2.95T	\$49.84B
EV / EBITDA Multiple	18.42x	32.03x

EA trades at a higher EV/EBITDA multiple (32.0x) than MSFT (18.4x), implying the deal is priced at a premium to the acquirer's own market valuation -- synergy delivery is essential to justify the spread.

DCF Valuation (5-Year Projection + Terminal Value)

PV of Free Cash Flows	\$4.38B
PV of Terminal Value	\$12.81B
DCF Enterprise Value	\$17.19B
Implied Share Price	\$73.04

DCF Implied Price	Discount / Discount	Premium %
\$73.04	Discount	-64.1%

DCF implies a 64.1% discount to the current market price. Deal appears potentially expensive at current terms.

M&A Rationale Summary

Automated Deal Risk Flags

- Target trades at elevated multiple (32.0x EV/EBITDA) -- deal may be expensive
- Target revenue is 2.7% of acquirer revenue -- tuck-in acquisition with limited synergy scale
- DCF suggests target is overvalued at current price (implied \$73.04 vs market \$203.27)

Flags are algorithmically generated. Analyst review required before distribution.